MICROECONOMICS

MICRO-56

Time: 4 minutes	**Outcome:** Explain how limited competition lets a firm influence price and efficiency.	**Difficulty:** ●●○ Foundational

Market Power

THE CORE IDEA

Market power is the ability to influence price rather than take the market price as given. It can arise from barriers to entry, product differentiation, control of a key input, network effects, or a small number of rivals. Monopoly is one strong case, but market power is broader than monopoly.

HOW TO RECOGNIZE IT

- A price-setting firm faces a downward-sloping demand curve for its product.
- Barriers or limited substitutes reduce competitive pressure and protect markups.
- Compared with a competitive benchmark, market power commonly raises price and reduces output.
- The output restriction can create deadweight loss because mutually beneficial trades do not occur.

WATCH OUT

Do not infer market power from a high price alone. Look for limited substitution, entry barriers, concentration, or evidence that the firm can profitably influence price.

WORKED EXAMPLE: PRICE SETTER, NOT PRICE TAKER

DIAGNOSE

- price influence
- imperfect competition
- entry barriers
- output restriction
- inefficiency

A local utility is protected by very high fixed network costs, so duplicating the network is inefficient. The firm can influence price because entry is difficult. Regulation may limit the price, but a price set too low can also prevent cost recovery. The central issue is the tradeoff between market power and feasible service provision.

CHECK YOURSELF

Why can a firm with close substitutes usually exercise less market power?

READY? Return to the game and master this concept.